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STUDENT INVESTMENT MANAGEMENT GROUP

Walmart

By the Defensive Sector

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Hold

Price: $116.16

Fair Market: $81

1-Year Price Target: $126.78

Industry: Discount stores

P/E	EV/EBITDA	Market Cap	52 Week
40.68x	30.4x	921.58B	High: $135.16 Low: $98.88

Security Description

- Walmart is the World's largest retailer and operates in the Consumer Defensive Sector
- It operates in more than 70,000 stores globally, serving around 270 million customers weekly
- Generates revenue mainly through Walmart U.S., Walmart International, and Sam's Club.
- Strong competitive advantage through low-price strategy, growing e-commerce, and large store network
- 60% of Walmart FY2026 revenue came from its grocery business
- Major competitors include other large retailers and warehouse clubs; however, Walmart remains dominant in this market.

Earnings Review

- For the 3 months ending April 2026, Walmart's total revenue increased 7.3% year over year to $177.8 billion
- Net sales increased by 7.1% to $175.7 billion, and membership and other income increased 27% to $2.1 billion
- Operating income increased 5% to $7.5 billion, while gross profit also increased by 7.4%
- Net Sales increased 4.5%, while E-commerce sales increased 26%, showing its growing strength in its digital business
- Adjusted EPS came in at $0.66, which is up 8.2% year over year, showing stronger earnings growth than the company's revenue growth
- For FY2026, Walmart generated more than $713 billion in sales
- Management guided FY2027 net sales growth of 3.5%-4.5%, adjusted operating income growth of 6%-8%, and adjusted EPS of $2.75-$2.85

Valuation

- We believe Walmart's strong fundamentals justify much of its premium valuation, but at the current price, we see limited room for further multiple expansion.
- WMT trades at a premium valuation compared with its historical levels and many traditional retailers, reflecting expectations for continued earnings, e-commerce, and advertising growth.
- Walmart's scale, strong grocery business, growing Walmart+ membership, and higher-margin advertising business help support this premium and provide relatively predictable demand.
- The main valuation risk is that strong growth expectations are already priced into the stock, so slower sales or earnings growth could put pressure on the share price.

Forward Outlook

- Walmart's strong grocery business and low-price strategy should continue attracting consumers, especially as households remain focused on value and affordability.
- E-commerce, Walmart+, and its advertising business provide additional growth beyond traditional store sales and could help improve margins over time.
- Our view is that Walmart remains a strong defensive holding, but its premium valuation means continued sales and earnings growth will be needed to support further upside.

Risks

- High Valuation: Walmart trades at a premium valuation, so weaker-than-expected earnings or sales growth could put pressure on the stock.
- Tariff & Cost Pressure: Higher tariffs, labor costs, and product costs could pressure margins, especially because Walmart competes heavily on low prices.
- Consumer Spending: Grocery and essentials remain resilient, but weaker consumer spending could hurt higher-margin discretionary categories such as electronics, apparel, and home goods.
- Competition: Walmart continues to face strong competition from Amazon, Costco, and other retailers in both physical stores and e-commerce.